The Effect of Pay Secrecy Bans on Wages and Discrimination Complaints

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Abstract

Pay secrecy bans have been suggested as a solution to wage gaps. In this paper, we find evidence that these policies lead to a short term increase in pay compression, and that they lead to an increase in lawsuits. Using Current Population Survey (CPS) data we exploit the variation in US states that passed these laws between 1977 and 2021. We find evidence of a short run compression in the dispersion of managers' wages in line with previous literature. We also find that discrimination complaints (lawsuits) filed with the Equal Employment Opportunity Commission (EEOC) between 2009 and 2021 increased by 25-40%.

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1 Introduction

Policymakers seek to combat inequality within firms through pay secrecy bans and other pay transparency regulations. Over the past decade, policymakers across the U.S. and Europe have implemented such regulations with renewed interest to provide workers with greater information about their co-workers' wages and reduce pay secrecy regimes. However, the effectiveness of such laws is unclear. On the one hand, updated information on the wage distribution leads employees with incorrect beliefs to negotiate over wages (Jäger et al. 2021). On the other hand, employers who violate laws on pay secrecy and anti-discrimination may have little fear of reprisal from employees, particularly if litigation is costly (Oyer and Schaefer 2002). Crucially, whether or not such laws reduce inequality depends on employers' compliance in banning pay secrecy at the firm-level and their willingness to negotiate with employees to close wage gaps.

We evaluate the impact of state-level bans on pay secrecy policies on future wages and whether such laws raise the number of discrimination-based lawsuits. Despite the extensive use of pay transparency regulation, there is limited evidence on the factors that make such legislation effective. For instance, the effectiveness of such laws in closing wage gaps depends on the probability of reprisal from employees through discrimination complaints. Indeed, policymakers have argued that these laws will promote pay equality by encouraging individuals with protected characteristics such as age, race, sex, and disability to collect evidence of illegal pay discrimination to bolster the enforcement of anti-discrimination laws (Kim 2015). While employees can file discrimination complaints with the Equal Employment Opportunity Commission (EEOC), even if employers comply with pay transparency laws, they still have little incentive to negotiate over wages if litigation is costly and unlikely to find in favor of the employee.

We provide evidence of the mechanisms which determine the effectiveness of such legislation. Using data from the Current Population Survey (CPS) from 1977–2021, we evaluate the impact of the staggered introduction of laws in a difference-in-differences framework to identify the

effect of pay transparency legislation on wage dispersions. We focus on whether groups with protected characteristics such as sex, race, age, and disability are differentially impacted by such laws to establish the ability of pay secrecy bans to increase equality. To further understand the underlying mechanisms behind the effectiveness of pay secrecy bans, we test whether changes in state-level pay secrecy lead to an increase in the number of discrimination charges filed with the EEOC. By highlighting the importance of firms' incentive to comply with pay secrecy bans and anti-discrimination regulations, our results inform policymakers of the underlying mechanisms which determine the effectiveness of such policies.

We present three main sets of results which contribute to the literature on pay transparency and discrimination in the workplace. First, we provide new evidence on whether pay secrecy bans, as implemented by policymakers, impact wages and pay gaps. We show that pay secrecy bans reduce the dispersion of managers' wages, and that this effect is concentrated in men, older workers, and white people. Importantly, pre-legislation wages exhibit no differential trends, suggesting the timing of when states pass pay secrecy bans is uncorrelated with the dynamics of wages over time, and we allow for departures from the assumption of treatment effects homogeneity (Goodman-Bacon 2021).

Second, we show that other than having short run impacts on wage dispersion, pay secrecy bans increase workers' perception of discrimination in the workplace. Three to four years after the introduction of pay secrecy bans, discrimination complaints filed with the EEOC increase by 25–40%. Complaints increase significantly across all protected characteristics such as race, sex, disability, and age, suggesting that pay secrecy bans unequivocally increase employees perceptions of discrimination in the workplace. The significant increase in discrimination complaints post-legislation, together with the lack of an effect on wages, suggest that employers do comply with pay secrecy bans, but are unwilling to negotiate with employees over wages.

Finally, we provide a comprehensive discussion the underlying reasons behind why bans lead to increases in discrimination complaints but no change in wages. We argue that even if

employees do learn of the pay of others and employers comply with pay secrecy bans, profit-maximizing employers may keep wages low and continue to discriminate if the expected costs of discrimination through litigation are low. Even with pay secrecy bans in place, the likelihood of an employer who discriminates facing a discrimination case is exceptionally rare.[1] While facing a lawsuit is extremely rare, conditional on facing a lawsuit, it is even more uncommon for such cases to rule against the employer: the overwhelming resolution of lawsuits is "no reasonable case", which is roughly 45–60% of all charges across race, disability, sex, and age. In a standard model of Becker (1968), the probability of employers operating in violation of anti-discrimination laws will depend on both the probability of detection as well as any sanction for breaking the law.[2] Given that the probability of detection is so low, we show that pay secrecy legislation alone is unlikely to benefit workers, and argue that strong and effective anti-discrimination laws are an important complement to policymakers aiming for pay transparency legislation to increase equality.

Our findings contribute to two distinct strands of literature. First, we emphasize the importance of anti-discrimination laws for the literature on pay transparency laws. Previous literature has found limited overall effects of pay transparency on wages, though there are benefits that accrue to some subgroups of the population. Kim (2015) finds that the gender pay gap shrinks by 5-12% in states that pass pay transparency legislation among women who have college degrees. Burn and Kettler (2019) finds that wages amongst managers increased by 3.5% as a result of the legislation, but they find no evidence of overall changes in the gender pay gap, while Devaraj and

[1] From 1997–2022, there were 29,084 charges filed annually under EEOC for race, 21,253 for disability, 25,148 for sex, and 18,350 for age for the entire US.

[2] Firms do not necessarily have discriminatory intent when designing pay secrecy policies. Many firms implement pay secrecy policies because they believe it reduces worker dissatisfaction by restricting the ability to compare wages (Colella et al. 2007; Kim 2015). The evidence from the experimental economics literature regarding pay comparisons' effects on worker effort is mixed (Charness et al. 2016). The evidence from laboratory experiments designed to study pay secrecy shows that worker effort is higher under pay secrecy than it is under pay disclosure (Bamberger and Belogolovsky 2010; Nosenzo 2013). Pay secrecy has also been found to promote participants' willingness to help each other in experiments (Bamberger and Belogolovsky 2017). In an experiment designed to test wage inequality between managers and non-managers, Hesse and Rivas (2015) find a significant decline in non-managers' effort choices when the wage gap between managers and non-managers increases, suggesting a possible reason for pay secrecy among managers.

Patel (2022) show no impacts of pay secrecy bans on wages. Cullen and Pakzad-Hurson (2023) establish the equilibrium effects of pay transparency laws, building a model where employers respond to both the legislation and employees. In contrast to these papers, our findings speak to the need for strong and effective anti-discrimination laws to complement pay secrecy bans. Second, we provide evidence of the real-world effects of perceptions of discrimination in the workplace, measured by the increase in the number of discrimination cases filed by workers after pay secrecy bans, contributing to a diverse literature on discrimination in the workplace.

2 Pay Transparency Laws and Institutional Details

The National Labor Relations Act (NLRA) protects the rights of non-supervisory employees to engage in "concerted activities" for the purpose of collective bargaining, which federal courts and the National Labor Relations Board have repeatedly interpreted to include discussions of wages and compensation (Colella et al. 2007; Gely and Bierman 2003). As a result, explicit pay secrecy rules that prohibit non-supervisory employees from discussing compensation are generally unlawful under federal law.

However, these protections do not extend to supervisors and managerial employees. The NLRA explicitly excludes individuals with supervisory authority, as well as independent contractors. Over time, the expansion of managerial and supervisory roles within firms has increased the share of workers who fall outside NLRA protections. In practice, this created a regulatory gap: while rank-and-file employees were protected in principle, employers could legally prohibit wage discussions among supervisors and managers.

As a result of this, in the United States, pay secrecy policies have become common. Almost half of workers say they would prefer salaries to be published at grade level as is often done in the public sector, and over 70% of women and ethnic minorities perceive significant gender and racial pay gaps in the workplace (Heisler 2024). Pay secrecy policies policies either take the

form of explicitly written rules in the employee handbook or as unwritten cultural norms (Gely and Bierman 2003). A typical rule may state that wages are a "confidential matter between the employee and his earnings supervisor...[discussions of earnings] will result in dismissal and/or disciplinary action at the supervisor's discretion" (Gely and Bierman 2003).

State-level pay secrecy bans were enacted primarily to close this gap. These laws extend protection against wage discussion prohibitions to supervisory and managerial employees, and in some cases broaden anti-retaliation protections more generally. Importantly, these laws do not require employers to proactively disclose wage information, nor do they constrain employers' discretion in setting wages. Employers may still discipline employees for improper access to confidential payroll records or disclosure of proprietary compensation systems. Thus, these policies operate primarily through enabling voluntary information exchange rather than mandating transparency. This distinction is important for interpreting expected treatment effects. Because the laws protect discussion rather than mandate disclosure, the impact depends on whether employees choose to share information and whether employers respond to that information through wage adjustments.

Table 1 summarizes the states that adopted pay secrecy bans and key provisions of each statute. While all laws prohibit retaliation for wage discussions, there is meaningful variation across states in coverage thresholds and enforcement mechanisms. First, coverage thresholds differ. Most states apply the law to employers with at least one employee, while others impose minimum firm size requirements (e.g., 15 employees in Nebraska and Nevada)[3]. These thresholds affect the intensity of exposure to the law, particularly in states with many small firms.

Second, enforcement provisions vary. Some states allow only equitable relief (e.g., reinstatement or back pay), while others permit compensatory damages, punitive damages, administrative fines, or recovery of attorney's fees. A subset of states impose caps on damages. As shown in Table 1, states such as Oregon and Washington allow broader remedies, while others provide more

[3]Some employers and workers may be exempt from these policies if they are exempt from all fair labor and employment laws (e.g., small employers with only a handful of employees or family members).

limited enforcement mechanisms. This variation implies that the expected cost to employers of violating pay secrecy bans differs across states. Where damages are limited to equitable relief or modest fines, the financial incentives to adjust wages may be small. In contrast, states allowing punitive damages or uncapped awards may generate stronger compliance incentives [4].

Figure A.1 summarizes the variation exploited in our staggered difference-in-differences framework. As we can see from the figure a handful of states implemented pay secrecy bans in the early 1980s, and our results are robust to dropping these early adopters. Following a lull in the late 1980s and early 1990s, pay secrecy bans become more evenly spaced both over time and geographically across the US, with the exception of Southern states which are less likely to adopt the policy.

2.1 Policy Environment and the Adoption of Pay Secrecy Bans

A potential concern in our identification strategy is that the adoption of pay secrecy bans may be correlated with broader economic or political conditions within states. If states that enact these laws systematically differ from those that do not, or if policy adoption coincides with other labour market or regulatory changes, the estimated effects of the legislation may capture these underlying differences rather than the causal impact of the policy itself. To assess this possibility, we examine whether the passage of pay secrecy bans is associated with observable state-level economic conditions, political institutions, or related labour market regulations.

Specifically, we estimate a series of linear probability models at the state-year level where the dependent variable is an indicator equal to one if a pay secrecy ban is in effect in state s in year t. The explanatory variables capture several dimensions that could plausibly be related to policy adoption. First, we include the state unemployment rate to test whether laws are more likely to

[4]We assess whether variation in the strength of pay secrecy laws affects our main results in Figure A.5. We restrict the sample to states without minimum employee thresholds and that provide at least two of the following provisions: equitable relief, damages, no cap on damages, and fines. The baseline estimates are largely unchanged. Increased volatility in pre-treatment coefficients likely reflects the smaller number of treated clusters, which reduces precision.

Table 1: Details of Pay Secrecy Bans

(1) State	(2) Year	(3) Emp Min	(4) Eq. Relief	(5) Damages	(6) Damage Cap	(7) Fines
California	1985	1	yes	no	no	no
Colorado	2008	1	yes	yes	no	no
Connecticut	2015	1	yes	yes	no	no
Delaware	2017	1	yes	yes	no	no
D.C.	2014	1	no	no	no	yes
Hawaii	2019	1	no	no	no	yes
Illinois	2003	1	no	no	no	yes
Maine	2009	1	yes	no	no	yes
Maryland	2020	1	yes	yes	no	yes
Massachusetts	2018	1	yes	yes	no	yes
Michigan	1983	1	no	no	no	no
Minnesota	2014	1	no	no	no	no
Nebraska	2019	15	no	no	no	no
Nevada	2021	15	no	no	no	no
New Hampshire	2015	1	no	no	no	no
New Jersey	2013	1	yes	no	no	yes
New York	2019	1	no	no	no	no
Oregon	2017	1	yes	yes	yes	no
Vermont	2005	1	yes	yes	no	no
Virginia	2020	1	no	no	no	no
Washington	2018	1	yes	yes	yes	no

Note: Source is the U.S. Department of Labor. www.dol.gov/agencies/wb/equal-pay-protections. Accessed: January 25, 2022. Column 1 reports the state, column 2 reports the year the state passed a bill banning pay secrecy policies, column 3 reports the minimum number of employees a company must have before the law applies to them, column 4 reports whether the law allows for equitable relief, column 5 reports whether the law allows for damages to be awarded to successful plaintiffs, column 6 reports whether the damages are capped, and column 7 reports whether administrative fines can be imposed for breaches of the law.

be introduced during particular phases of the business cycle. Second, we examine whether states with larger pre-existing gender wage gaps are more likely to adopt pay transparency policies, which would suggest that the legislation responds to observed inequality. Third, we include an indicator for unified Democratic control of state government, defined as cases where the governorship and both legislative chambers are controlled by the Democratic Party. Finally, we include an indicator for whether the state has enacted restrictions on non-compete agreements, which represent a related form of labour market regulation affecting wage bargaining and worker mobility.

Formally, the estimating equation takes the form

$$Adopt_{st} = \alpha + X_{st}\beta + \gamma_s + \lambda_t + \varepsilon_{st}, \tag{1}$$

where $Adopt_{st}$ is an indicator for a pay secrecy ban being adopted in state s in year t, X_{st} represents state-year covariates capturing unemployment, the gender wage gap, unified Democratic control, and non-compete bans each entered into the regression separately, γ_s are state fixed effects, and λ_t are year fixed effects. Standard errors are clustered at the state level.

The results are reported in Table 2. Across specifications, we find no evidence that the adoption of pay secrecy bans is systematically related to state-year unemployment rates, existing gender wage gaps, unified Democratic political control, or non-compete ban agreements. This suggests that the timing of pay secrecy bans is not driven by contemporaneous labour market conditions or by observable differences in gender wage inequality across states.

Overall, these results provide little evidence that the adoption of pay secrecy bans is systematically associated with observable economic conditions or political environments at the state-year level. Instead, the timing of policy adoption appears largely orthogonal to the labour market variables examined here, supporting the interpretation that the difference-in-differences estimates capture the causal effects of the legislation rather than underlying state-level trends.

Table 2: Determinants of Pay Secrecy Ban Adoption

	(1) Lagged Unemployment	(2) Lagged Gender Pay Gap	(3) Unified Democratic Control	(4) Non-Compete Ban
Adopt	0.013	−0.077	0.032	0.143*
	(0.010)	(0.162)	(0.032)	(0.072)
State Fixed Effects	Yes	Yes	Yes	Yes
Year Fixed Effects	Yes	Yes	Yes	Yes
Observations	612	612	147	663

Note: Each column reports estimates from a separate linear probability model where the dependent variable equals one in the year a state first adopts a pay secrecy ban. Lagged unemployment and lagged gender pay gap are measured in the previous year. Unified Democratic control is an indicator equal to one if the governor and both legislative chambers are controlled by the Democratic Party. Non-compete ban is an indicator equal to one if the state has either partial or near-blanket restrictions on non-compete agreements in that year. All specifications include state and year fixed effects. Standard errors clustered at the state level are reported in parentheses. * $p < 0.10$.

3 Data

Using CPS data on wages and worker characteristics obtained from the IPUMS database (Ruggles et al. 2022). for the years 1977 to 2021 inclusive, we construct a sample of working adults aged 25 to 65, with wage outlier restrictions (below $2 or above $15,000 an hour in 2012 dollars) as is standard in the literature (Kim 2015; Burn and Kettler 2019). Our final sample consists of 3,152,343 individuals.

In both sets of analysis, we include controls capturing the demographic and industrial composition of workers at the state-year level. These variables are constructed by first computing individual-level indicators for being Black, female, having completed high school, and being employed in manufacturing or service industries. Industry indicators are defined using the harmonized IPUMS CPS industry classification. We then aggregate these variables to the state-year level by taking the weighted mean across individuals within each state and year, using CPS ASEC sampling weights. The resulting controls therefore represent the share of workers in a state-year cell who belong to each demographic or industry group. We also include the mean age of workers in each state-year cell. The analysis sample is restricted to individuals who report being in the

labor force in full time work and who are classified as managers. Wage dispersion is then calculated within each state-year cell as the weighted standard deviation of log hourly wages among these workers.

CPS data is a set of repeated cross-sections. For any individual, we observe their 'primary occupation' at the time of the survey, defined as the occupation in which they worked the most hours. Respondents are asked about their total salary income[5] from the previous year, from which we construct an 'hourly wage' from their usual hours worked. Those out of the labour force (for example, the unemployed) report their last occupation. Income is inflation-adjusted to 2012 dollars. Table A.1 highlights the observable characteristics of individuals in the estimation sample in 2021. Managers earn about $16 an hour more than non-managers, are more likely to be in full-time work, as well as less likely to be female and non-white.

For the second part of our analysis, we turn to the number of discrimination complaints filed with the EEOC in the years 2009 to 2021 inclusive. We observe the total number of complaints filed under the premise of discrimination in a state in a given year, as well as the number of complaints broken down by discrimination based on age, race, sex, and disability. We use the same controls as above, that is the share of the employed workforce who are black, female, have completed high school, are employed in manufacturing or service industries at the state year level. Due to data limitations, our sample is limited to a shorter time window since some states only began collecting data on complaints in 2009.

4 Methodology

A wealth of literature in recent years (Sun and Abraham 2021; Callaway and Sant'Anna 2021; Goodman-Bacon 2021) emphasizes that departures from treatment effect homogeneity, in the presence of varied timing in the implementation of a policy, can bias the treatment effect away

[5]Salary income includes earnings from wages, bonuses, overtime, and tips and excludes self-employment income, interest, retirement income, or transfers.

from its true value. In order to avoid making this assumption, we employ a variation of the generic event study approach which accounts for this potential issue.

For instance, if the treatment effect of the implementation of pay secrecy bans is heterogeneous between states, this has the potential to bias the ATT away from its true value (Goodman-Bacon 2021). The issue arises when the estimating regression uses states that have already been treated as a control group for states that are treated later. When this happens, the effect of the treatment on the earlier treated state can be captured and used as a control for the later treated state, this could result in the ATT being artificially higher or lower from its true value. Given the large time differences in the implementation of the laws, this could be a significant problem.

To overcome this potential issue, we employ a Callaway-Sant'Anna staggered difference-in-difference event study. This modification of the generic event study calculates separate 2x2 DiD estimates between all counterfactual and treated states and excludes the comparisons between early-treated and late-treated groups which have the potential to bias the regression. The use of the Callaway-Sant-Anna estimator allows us to drop the assumption of treatment effect homogeneity. In addition to this, further robustness checks are employed in section 5.2 that show our results are robust to a host of alternative empirical approaches including defining a specific treatment group of managers in treated states (relative to non-managers) and the approaches described in Goodman-Bacon (2021).

Our empirical strategy exploits the passage of pay secrecy bans to estimate how wages, and subsequently lawsuits, change comparing treated and counterfactual states. Treated states are defined as those who pass pay secrecy bans. Counterfactual states are those that never or have not yet passed pay secrecy bans. To exploit the variation in the differential implementation of the law we employ the event study design outlined by Pedro Sant'Anna and Brantly Callaway in their 2021 paper which allows the impacts of pay secrecy bans to vary over time:

$$Y = \tilde{\alpha}_1^{g,t} + \tilde{\alpha}_2^{g,t} \cdot G_g + \tilde{\alpha}_3^{g,t} \cdot 1(T = t) + \tilde{\beta}^{g,t} \cdot [G_g \times 1(T = t)] + \tilde{\gamma} \cdot \mathbf{X}' + \tilde{\epsilon}^{g,t} \tag{2}$$

Where Y is our outcome variable, in the first instance this is the variance of log hourly wages of managers within the labour force, and in the second this is the number of discrimination complaints filed with the EEOC. Where $\tilde{\alpha}^{g,t}$ is a group-time fixed effect, $\tilde{\alpha}_2^{g,t}$ is a fixed effect for the treated groups, $\tilde{\alpha}_3^{g,t}$ is a time trend. $\beta^{g,t}$ is our coefficient of interest. It captures the aggregated ATT from inverse probability-weighted estimates of the causal effect of the treatment on the outcome variable and removes the potential for the estimates to be biased by preventing previously treated states from being used as controls for later treated states. **X**' is a vector of characteristics controlling for the shares of race, sex, high school graduation rates, age, and service and manufacturing industry compositions at the state-year level. Such controls account for important state-level characteristics which may vary between treated and counterfactual states; for instance, if states that have a greater share of black workers tend to pass pay secrecy bans and at the same time experience faster wage growth, then accounting for such differences will be important. See Table A.1 for a list of the controls included. The error term, $\epsilon^{g,t}$ is associated with group g during year t. The standard errors are clustered at the state level. When estimating this equation, we weight the observations using the Annual Social and Economic Supplement (ASEC) weights provided by Ruggles et al. (2022).

5 The Impact of Pay Secrecy Bans on Wage Dispersion

Figure 1 reports estimates of the staggered event study specification from Callaway and Sant'Anna (2021), examining the effect of pay secrecy bans on the dispersion of managers' wages. In contrast to the baseline analysis of mean wages, the results reveal an initial decline in wage variance following the passage of pay secrecy bans. The first post-treatment periods show negative and statistically significant coefficients, indicating a reduction in wage dispersion shortly after the legislation is implemented. This pattern is consistent with the theoretical predictions of increased wage transparency compressing pay distributions and aligns with findings in Cullen and Pakzad-

Hurson (2023), who document a similar reduction in wage dispersion following the introduction of pay transparency policies.

However, these effects appear concentrated in the early post-treatment years. Beyond the initial periods following adoption, the estimated coefficients become smaller in magnitude and less precisely estimated, and cannot be distinguished from zero. Overall, the evidence suggests that pay secrecy bans may initially compress the wage distribution, but that these effects do not persist strongly in the medium term.

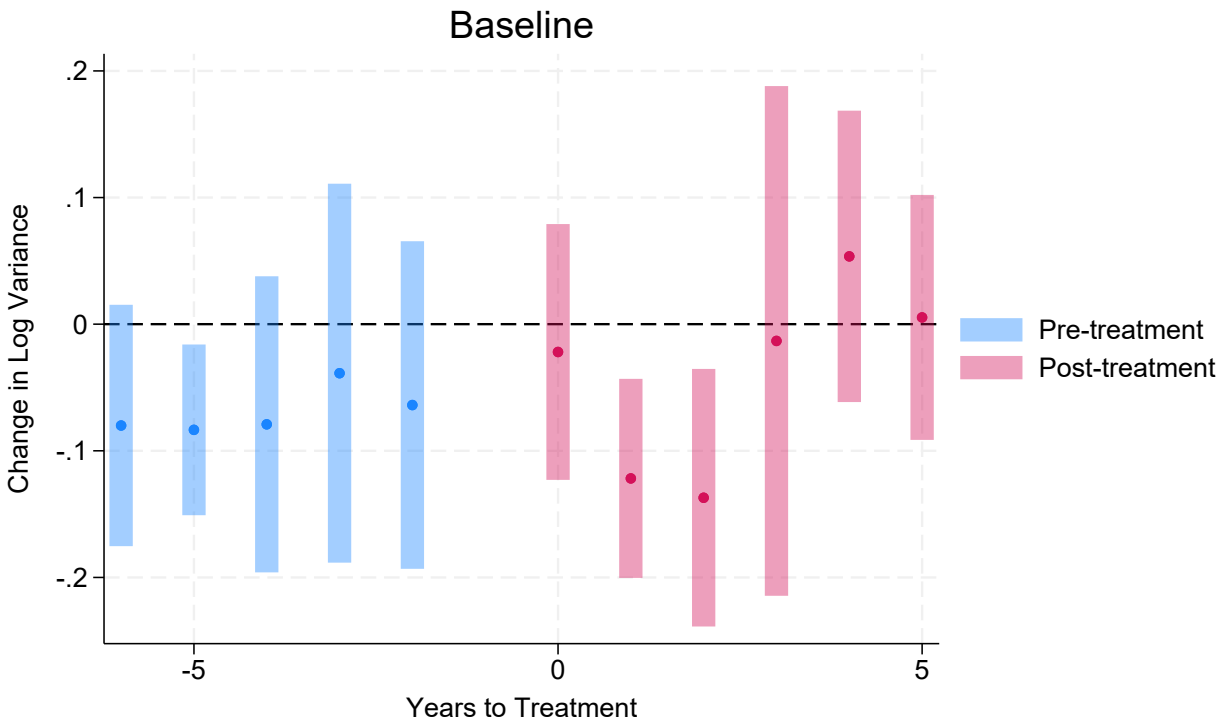
Importantly, Figure 1 also reveals that, conditional on the controls included in equation (2), the estimated differences in wage dispersion prior to the implementation of the legislation are small in magnitude, precisely estimated, not significantly different from zero, and exhibit no systematic trend over time. This supports the parallel trends assumption underlying the identification strategy. The absence of pre-treatment dynamics suggests that the passage of pay secrecy bans is uncorrelated with underlying trends in wage dispersion prior to the policy change, indicating that the event study specification of Callaway and Sant'Anna (2021) isolates an appropriate counterfactual for states that eventually adopt pay transparency legislation.

5.1 The Impacts of Pay Secrecy Bans on Wage Dispersion Across Different Subgroups

While Figure 1 presents the average effect of pay secrecy bans on wage dispersion across all workers, the impact may differ across demographic and workplace characteristics. Pay secrecy bans are often motivated by concerns about unequal pay outcomes across demographic groups and organisational settings. If such policies increase information about pay within firms, they may compress wage distributions in some segments of the labour market more than others.

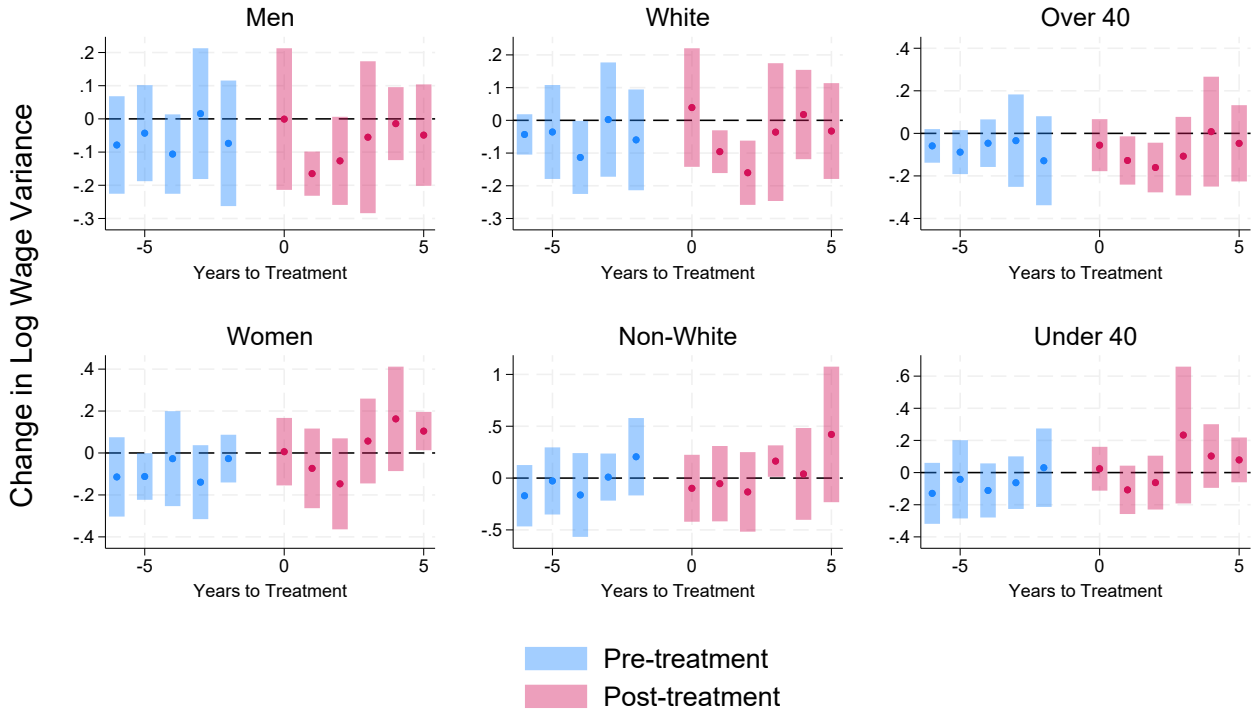
To investigate potential heterogeneity in the response, Figure 2 estimates the Callaway-Sant'Anna staggered event study separately across three demographic dimensions: men versus women,

Figure 1: Staggered DD Event Study for Wage Dispersion



Note: Figure plots the impact of pay secrecy bans on wage dispersion, estimating the Callaway and Sant'Anna (2021) staggered event study specification. The outcome variable measures the dispersion of wages within state-year cells for managers. The specification controls for differences due to race, gender, education, industry, and age at the state year share level. The sample of workers is described in Section 3. Robust standard errors clustered at the state level are used, with 95% confidence intervals plotted.

Figure 2: Staggered DD Event Study for Wage Dispersion



Note: Figure plots the impact of pay secrecy bans on wage dispersion by subgroups, estimating the Callaway and Sant'Anna (2021) staggered event study specification. The outcome variable measures the dispersion of wages within state-year cells for managers. The specification controls for differences due to race, gender, education, industry, and age at the state year share level. The sample of workers is described in Section 3. Robust standard errors clustered at the state level are used, with 95% confidence intervals plotted.

white versus non-white workers, and younger versus older workers (defined as under and over age 40).[6] The estimates reveal that the reduction in wage dispersion observed in the baseline results is not uniform across groups. Instead, the decline in dispersion is concentrated among men, white workers, and workers aged above 40. For these groups, the event study shows a noticeable compression in the wage distribution in the years immediately following the introduction of pay secrecy bans.

In contrast, the corresponding groups of women, non-white workers, and workers under age 40 exhibit little evidence of any change in wage dispersion following the passage of the leg-

[6]Information on disability status is not measured in the data.

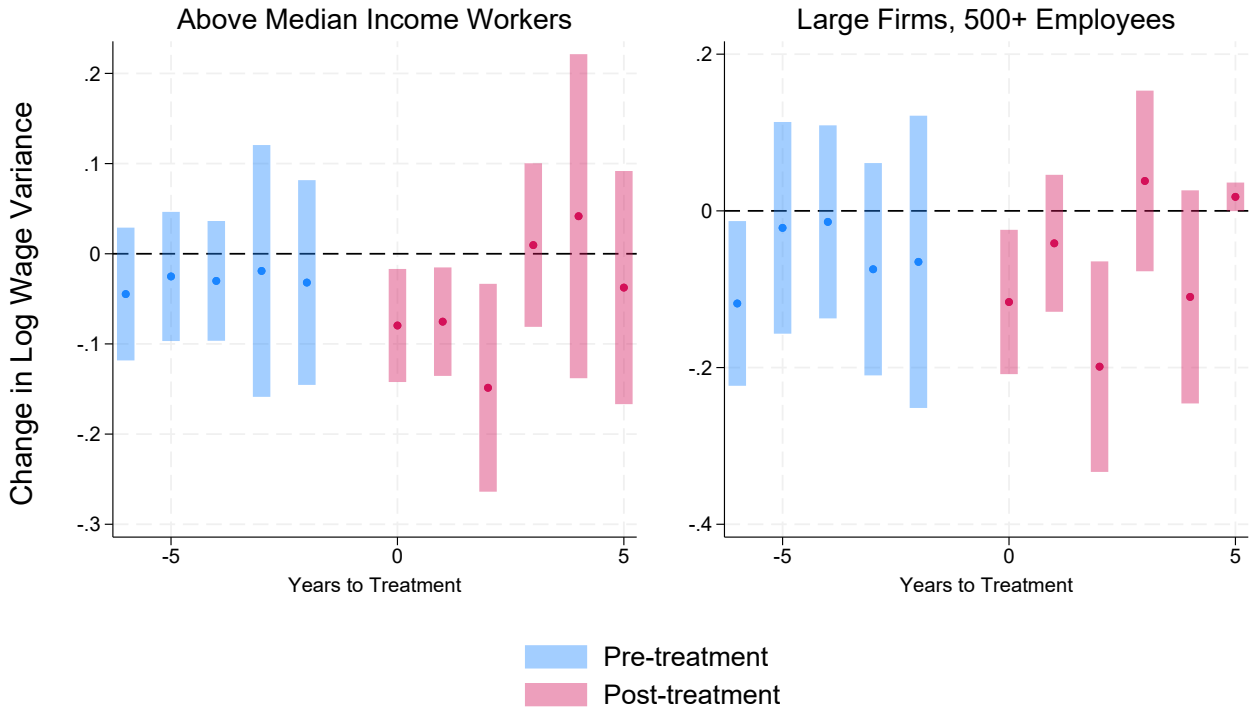
islation. Their event study coefficients remain close to zero throughout the post-treatment period, suggesting that the reduction in wage dispersion is not broadly shared across demographic groups.

Additional heterogeneity emerges when examining workplace characteristics. Figure 3 shows that the compression in wage dispersion is primarily concentrated in large firms, defined as those with more than 500 employees. Similarly, the reduction in dispersion is observed among workers with earnings above the median of the wage distribution. These patterns suggest that the effects of pay secrecy bans are most pronounced in segments of the labour market where pay-setting structures are likely to be more formalised and where workers may have greater access to comparative pay information.

Importantly, these findings are complemented by a series of robustness analyses presented in Appendix Figures A.2 and A.3. Appendix Figure A.2 shows the evolution of the average gender wage gap over time, which remains largely unchanged following the adoption of pay secrecy bans. Appendix Figure A.3 further demonstrates that several other groups exhibit no detectable change in wage dispersion. In particular, the event study estimates show no meaningful change among workers employed in small firms, medium-sized firms, private salaried workers, non-union workers, workers in the lower quartile of the wage distribution, and workers with earnings below the median.

The evidence suggests that the modest compression in wage dispersion following the introduction of pay secrecy bans is concentrated in a relatively narrow segment of the labour market. The reductions appear to be driven primarily by workers in large firms and those already located in the upper half of the wage distribution, while dispersion remains largely unchanged across many other demographic and workplace groups. This pattern is consistent with pay transparency affecting wage-setting in environments where wage comparisons are more readily observable and where formal pay structures are more prevalent.

Figure 3: Staggered DD Event Study for Wage Dispersion



Note: Figure plots the impact of pay secrecy bans on wage dispersion for workers above the median in pay and in large firms, estimating the Callaway and Sant'Anna (2021) staggered event study specification. The outcome variable measures the dispersion of wages within state-year cells for managers. The specification controls for differences due to race, gender, education, industry, and age at the state year share level. The sample of workers is described in Section 3. Robust standard errors clustered at the state level are used, with 95% confidence intervals plotted.

5.2 Robustness of Baseline Results

The Callaway-Sant'Anna estimator in the baseline specification is robust to treatment effect heterogeneity by design. Our identification strategy also rests on the assumption of parallel trends; that is: wage variance in treated states was not falling more than wage variance in counterfactual states before the implementation of the law, and we would expect this to hold in the hypothetical counterfactual case where no pay laws were passed. The evidence for this assumption is clear across the baseline specification, with no non-zero differences present in the years preceding the introduction of pay laws.

To assess the robustness of our baseline results, we estimate a triple difference specification at the individual level that exploits variation across states, time, and occupation type. The existing literature exploits the nature of pay secrecy bans, where such laws extend new rights to managers and supervisors, and compares managers to non-managers (Kim 2015; Burn and Kettler 2019; Devaraj and Patel 2022). In this specification, managerial workers represent the group directly exposed to pay secrecy bans, and we examine whether the reduction in wage variance documented in the baseline is concentrated among this group. Accordingly, we interact an indicator for employment in a managerial occupation with the policy treatment indicator[7].

Formally, the estimating equation includes the interaction between a managerial occupation indicator and the post-treatment policy variable. The coefficient of interest captures the differential change in wage variance for managerial workers in states after the adoption of a pay transparency law, relative to non-managerial workers in the same state and year. This additional interaction introduces a third dimension of comparison that differences out shocks affecting both occupational groups similarly within a state.

The identification strategy therefore compares three differences simultaneously: changes over

[7]We also test whether the adoption of a pay secrecy ban is associated with the share of workers who are managers, and find no evidence that it is. As reported in Table A.3, the coefficient on the pay secrecy ban in a state–year regression of managerial share is small and statistically indistinguishable from zero, indicating that states with a higher share of managers are no more likely to have a ban in effect and, conversely, that adoption does not shift the share of workers who are managers.

time within states that adopt the law, differences between treated and untreated states, and differences between managerial and non-managerial workers. The triple interaction term isolates the extent to which any post-adoption reduction in wage variance is larger for managerial workers than for non-managerial workers.

Unlike the baseline difference-in-differences specification, which relies solely on never-treated states as a comparison group, this specification uses all available untreated observations implied by the staggered adoption structure. The identifying variation therefore comes from comparisons between managerial and non-managerial workers within the same state and year, as well as across states with different policy adoption timing. Under the identifying assumption that, absent the policy, wage variance trends for managerial and non-managerial workers would have evolved similarly across adopting and non-adopting states, the triple interaction coefficient captures the causal effect of the policy on wage dispersion among managerial workers.

Table A.2 presents the results. Without controls, the interaction between managerial status and the pay transparency law indicator is negative and statistically significant, suggesting that wage variance among managers falls relative to non-managers following adoption of the law. However, this effect loses statistical significance once individual-level controls for race, education, sex, industry, and age are included. The point estimate remains negative but small, indicating that the baseline reduction in wage variance for managers is not robust to the inclusion of worker characteristics. This pattern suggests that the raw reduction in managerial wage variance is at least partly attributable to compositional differences rather than a causal effect of the policy itself.

Finally, we assess the potential importance of early adopters of pay secrecy bans. A potential concern in our baseline specification is that Michigan passed its law in 1983 and California in 1985, with the next law not being passed until 18 years later in 2003. These two early adopters could potentially cause the most issues in regard to the heterogeneity of the treatment effect due to variation in timing. Table **??** shows that the triple difference results are robust to dropping

these two early adopters.

6 The Impacts of Pay Secrecy Bans on Discrimination Complaints Filed with the EEOC

The previous sections examined how pay secrecy bans affect the distribution of wages within firms. While we find evidence that these laws reduce wage dispersion for some groups of workers, there is little indication that they substantially alter average wage levels. Given this limited impact on wages themselves, an important question is whether workers respond to greater pay transparency along another margin: the filing of discrimination complaints. If workers become more aware of pay differences following the removal of pay secrecy policies, they may be more likely to challenge perceived inequities through formal legal channels.

To explore this possibility, we examine the effect of pay secrecy bans on discrimination complaints filed with the Equal Employment Opportunity Commission (EEOC) between 2009 and 2021. The EEOC protects workers from discrimination based on characteristics such as sex, race, age, and disability. Increased transparency about wages may reveal disparities that workers previously did not observe, potentially leading them to file complaints if they believe these differences reflect unlawful discrimination or if attempts to renegotiate wages within the firm are unsuccessful.

Whether secrecy bans lead to increases in discrimination complaints provides insight into employer responses to these laws. One possibility is that employers do not substantially adjust wages following the passage of pay secrecy bans, either because compliance is incomplete or because they believe that pay transparency may reduce worker satisfaction or increase internal conflict (Colella et al. 2007; Kim 2015). Alternatively, employers may comply with the legislation and allow greater pay transparency, but still resist renegotiating wages even when disparities become visible. In such cases, workers who learn that they are paid less than comparable co-workers may

instead pursue legal remedies.

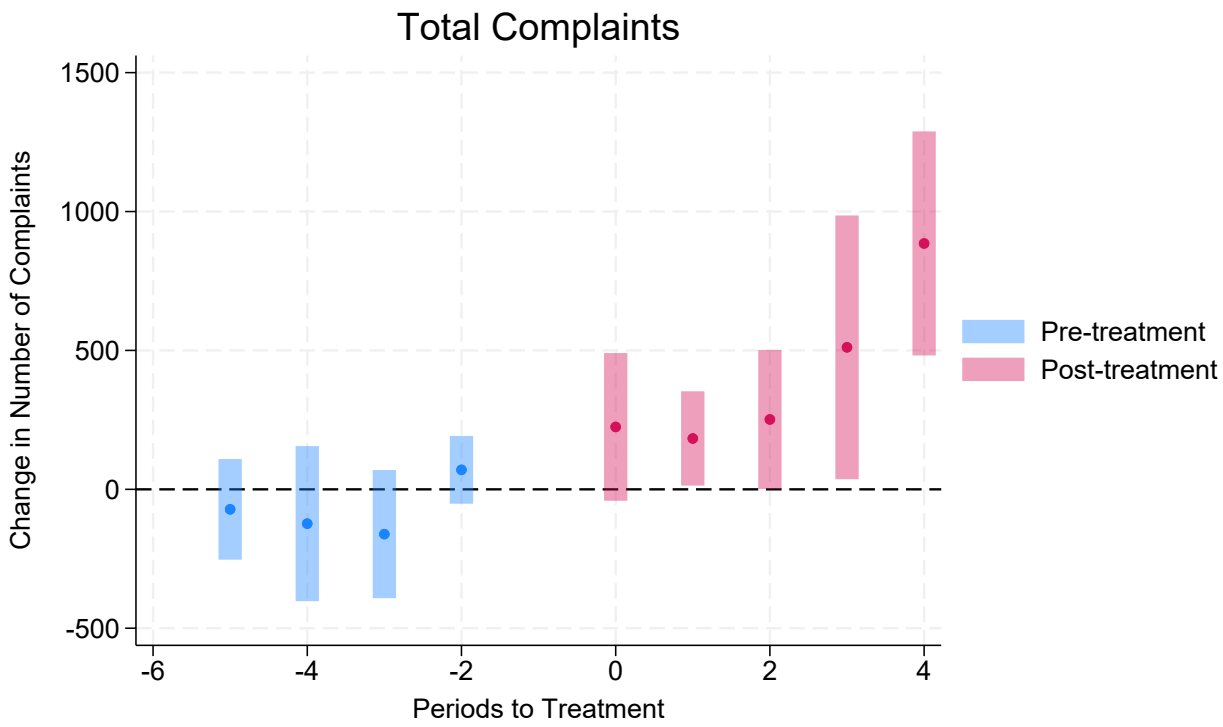
To test these mechanisms, we estimate an event study examining the impact of pay secrecy bans on the number of discrimination complaints filed in each state. Using the same control variables as in the previous section, including the state-year share of Black workers, the share of high school graduates, the share of women, the average age of workers, and the shares of workers employed in manufacturing and services, we compare the number of complaints before and after the introduction of a pay secrecy ban.

Figure 4 reports the estimated event study coefficients. The pre-treatment coefficients are small and statistically indistinguishable from zero, suggesting no evidence of differential pre-trends between states that adopt pay secrecy bans and those that do not. In contrast, the post-treatment estimates reveal a clear increase in the number of discrimination complaints filed following the passage of the legislation. As shown in the figure, complaints begin to rise immediately after adoption and continue to grow over time. By four years after the introduction of a pay secrecy ban, the estimated increase in complaints reaches several hundred additional filings relative to the pre-treatment baseline. Given an average of 976 complaints in the year prior to treatment, these estimates correspond to an increase of roughly 25–40 percent.

The gradual growth in complaints over time is consistent with institutional features of the complaint process. Workers often attempt to resolve disputes internally before pursuing legal action, which can delay formal filings. As a result, the increase in complaints following the introduction of pay secrecy bans may reflect a lag between workers learning about wage disparities and ultimately filing discrimination claims.

Taken together, these results suggest that while pay secrecy bans have short run effects on wage dispersion, they may substantially affect workers' perceptions of fairness and their willingness to challenge perceived discrimination. Increased transparency appears to lead more workers to pursue formal complaints through the EEOC, highlighting an important channel through which pay transparency policies may influence workplace dynamics.

Figure 4: Staggered DD Event Study for Total Complaints



Source: https://www.eeoc.gov/data/enstate levelnd-litigation-statistics-0. Robust standard errors clustered at the state level. Average total number of complaints in time -1: 976.

6.1 Heterogeneity in Discrimination Complaints

To further understand which types of discrimination complaints drive the increase documented in the previous section, Figure 5 presents event study estimates separately by the basis of the complaint filed with the EEOC: sex, race, age, and disability. This allows us to examine whether the response to pay secrecy bans differs across the protected characteristics covered by the EEOC.

The results reveal substantial heterogeneity in the response of discrimination complaints. The strongest and most consistent increase occurs for complaints related to sex discrimination. As shown in the first panel of Figure 5, complaints based on sex rise steadily in the years following the introduction of pay secrecy bans. The post-treatment coefficients increase over time and

become economically large relative to the pre-treatment baseline, suggesting that greater transparency around pay particularly increases the likelihood that workers file complaints related to gender-based pay disparities.

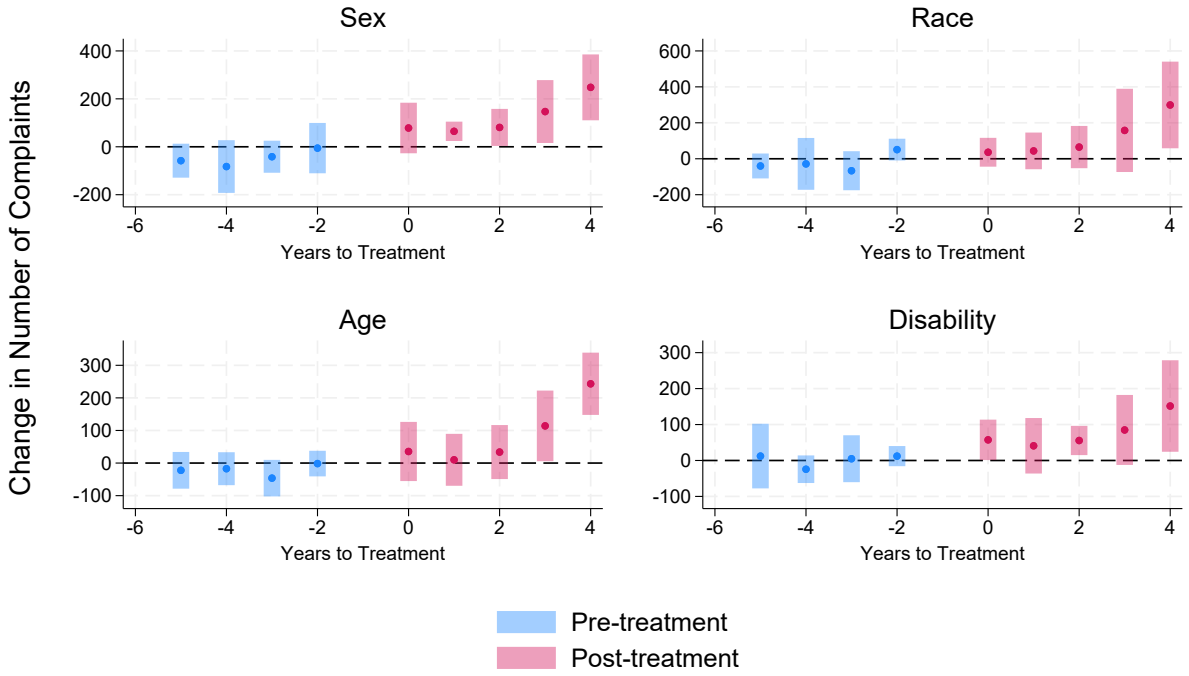
We also observe significant increases in complaints related to race discrimination. The second panel of Figure 5 shows that race-based complaints rise in the post-treatment period, although the magnitude of the increase growing several years after the adoption of pay secrecy bans.

Complaints related to disability also increase following the passage of pay secrecy bans. While the magnitude of these effects is smaller than those observed for sex discrimination, the event study estimates indicate a clear upward shift in disability-related complaints in the years following treatment. This suggests that increased pay transparency may also make disparities affecting disabled workers more visible within firms.

Complaints related to age discrimination also increase following the passage of pay secrecy bans. While the magnitude of these effects is smaller than those observed for sex discrimination, the event study estimates indicate a noticeable upward shift in age-related complaints in the years following treatment. The increase becomes more pronounced several periods after the introduction of the legislation, suggesting that greater pay transparency may gradually reveal disparities affecting older workers within firms.

Overall, the heterogeneity analysis indicates that the rise in discrimination complaints following pay secrecy bans is driven primarily by complaints related to sex discrimination, with additional contributions from race and disability complaints. These findings are consistent with the interpretation that increased pay transparency reveals disparities that are particularly salient for groups historically associated with pay inequality, leading affected workers to pursue formal discrimination claims through the EEOC.

Figure 5: Staggered DD Event Study for Complaints by Type



Source: https://www.eeoc.gov/data/enforcement-and-litigation-statistics-0. Robust standard errors clustered at the state-level. Average number of complaints in time -1: 306, 305, 304, and 223 respectively. Average number of complaints does not sum to reported number in Figure 4 because workers can file complaints in more than one type.

7 Why Do Pay Secrecy Bans Increase Discrimination Complaints but not Wages?

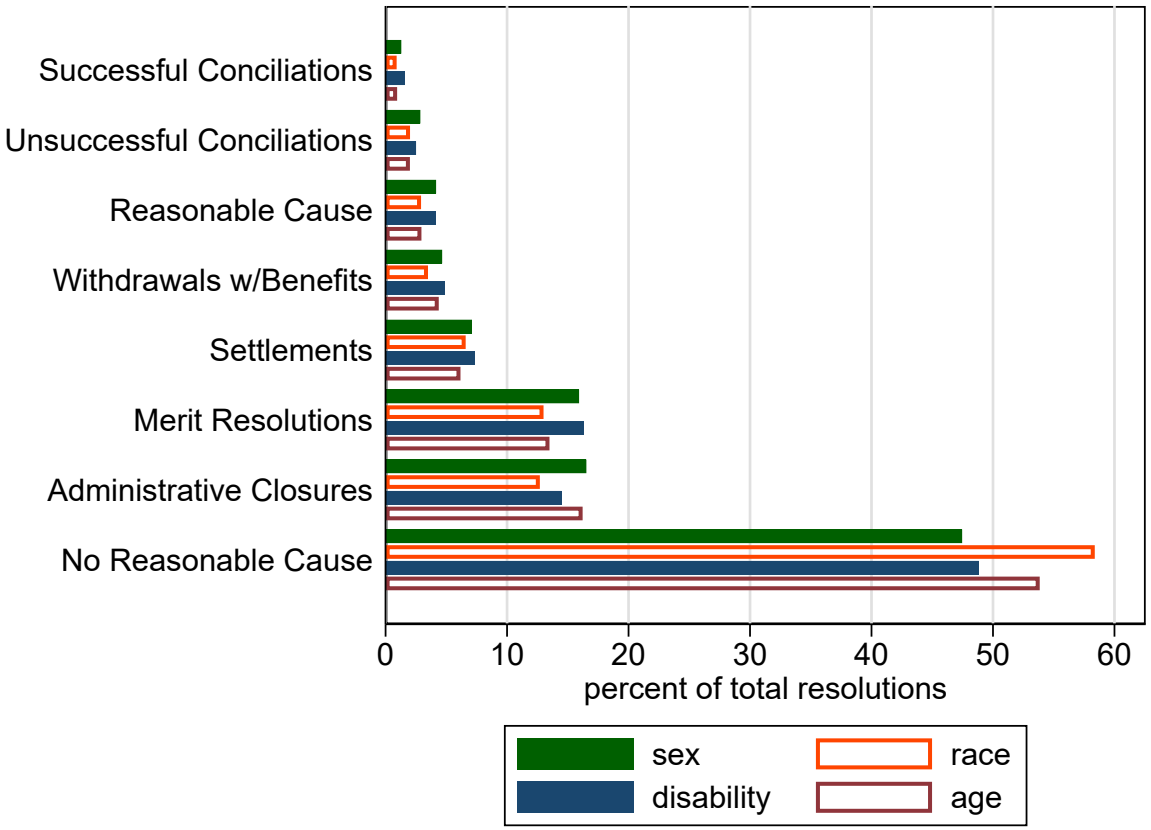
The significant increases in complaints filed with the EEOC suggest that employers do comply with pay secrecy bans, and that workers with protected characteristics become aware of discrimination in their workplaces. Although pay laws lead to discussions over wages, employers are unwilling to increase wages among groups with protected characteristics, and workers resort to filing discrimination complaints. Despite the threat of litigation, employers are unwilling to increase wages among workers with protected characteristics. We argue that even after pay secrecy bans, profit maximizing employers may continue to discriminate because the probability of successful discrimination claims is extremely small.

Neumark et al. (2019) suggest that no more than 3% of all firms in the US receive a charge for discrimination on the basis of age in any given year. Similar numbers exist for other discrimination complaints: across the entire US from 1997–2022, there are 29,084, 21,253, 25,148, and 18,350 charges filed annually under EEOC for race, disability, sex, and age complaints respectively.[8] With such small numbers, discriminating employers face little fear of reprisal from employees. While settlements or penalties paid as a result of successful discrimination complaints are costly to employers, increasing wages of their employees is also costly. Indeed, a profit maximizing employer may find it optimal to discriminate if the probability of being caught is very low, as in a standard model of Becker (1968).

Even if firms face discrimination charges, Figure 6 shows that nearly 50% of all cases lead to a ruling of "no reasonable cause" from 1997–2022. Costly charges to the employer—charges which result in merit resolutions, settlements, withdrawal with benefits, and reasonable cause—represent just 13–16%, 6–7%, 3–4%, and 2–4% of total resolutions respectively. While the likelihood of facing a charge is small, the likelihood of a ruling in favor of the employee who

[8] Authors' calculations from https://www.eeoc.gov/data/enforcement-and-litigation-statistics-0.

Figure 6: Outcomes of Resolutions for Complaints filed with the EEOC, 1997–2022



Note: Figure plots the percent of total resolutions by resolution type, averaged across all resolutions from 1997–2022 for cases filed with the EEOC under sex, race, disability, and age. Data available from the EEOC, https://www.eeoc.gov/data/enforcement-and-litigation-statistics-0.

filed the discrimination complaint is even smaller. Even though pay laws lead to increases in the perception of discrimination among workers, employers still find it profit maximizing to underpay workers as the expected cost of successful litigation against them remains small. Put differently, the value of non-compliance with anti-discrimination laws is too high even among pay transparent employers. While employers do comply with pay laws, they remain unwilling to negotiate over wages. If policymakers aim to increase the wages of those who face discrimination in the labor market, strong and effective anti-discrimination laws are necessary to complement pay secrecy bans.

8 Conclusion

Policymakers promote pay secrecy bans as a tool to increase wages, reduce wage inequality, and reduce wage gaps for women. Firms oppose the laws because they fear they will increase the wages of employees, increase employee turnover, and lead to frivolous discrimination cases. Our findings show that pay secrecy legislation alone did not achieve a number of policymakers' goals. While states that pass pay secrecy bans experience no significant changes in wages post-legislation, discrimination complaints from workers with protected characteristics such as race, sex, disability, and age increase significantly.

Our evidence suggests that in order to increase equality among workers, policymakers need to not only consider the compliance costs with pay secrecy bans, but also the compliance costs with discrimination laws more broadly. As discrimination complaints increase significantly, this suggests that while employers comply with pay secrecy bans, they are unwilling to negotiate over wages. We argue that profit maximizing employers face little fear of reprisal even after becoming pay transparent.

We can compare the effects of the laws to the costs they impose on employers directly. If we assume that the wage gap between male and female managers would shrink after pay transparency

to close to parity, we can estimate the potential costs to workers from a lack of pay transparency as well as the compliance cost to firms for enforcing pay transparency. If a woman finds out she was paid less than her male colleagues at a rate similar to the average gender gap for managers, she would earn $21,247 less than her male colleagues. Since the average female manager has been in their job for 9.7 years, she has lost $206,124 over her time at the firm in lower wages. If the state only has administrative fines available, she will receive nothing and the firm will pay a fine of about $1,000 for the first violation with escalating fines for more frequent violations and would have no change increase in managerial wages. Under an equitable relief regime she would be entitled to back pay of $21247 per year to the maximum number of years permitted under the statute of limitations, but still there would be no increase in managerial wages for other female managers at the firm. In states with damages, she will receive her back pay, but also compensatory and punitive damages awarded by the judge or jury. The maximum damage payout for a discrimination complaint is $600,000 for compensatory and punitive damages under the most commonly used laws Bachman (2022).[9] In states that allow the plaintiff to recoup attorney's fees when they win their case, the firm will pay an additional 30% on average for the attorneys.

These results suggest that there is a strong business case for even non-discriminatory employers to invest in education initiatives within their firms to ensure that managers can explain the data which underlies pay and compensation to help employees understand the causes of pay dispersion in the firm. Without increased dialogue from employers, employees on the wrong end of pay dispersion may conclude that in the absence of objective criteria that discriminatory factors may be at play.

[9]Note, however, that for race discrimination no such maximum exists. In some states, no such maximum is applied, so awards potentially may be in the millions for the most egregious of cases. A common theme in discrimination law is for cases to be bundled together as class action lawsuits, so all female managers at a firm may combine into a single complaint with awards multiplied by the total number of potential plaintiffs in the class. At large firms, this will run into the 100s if not 1000s.

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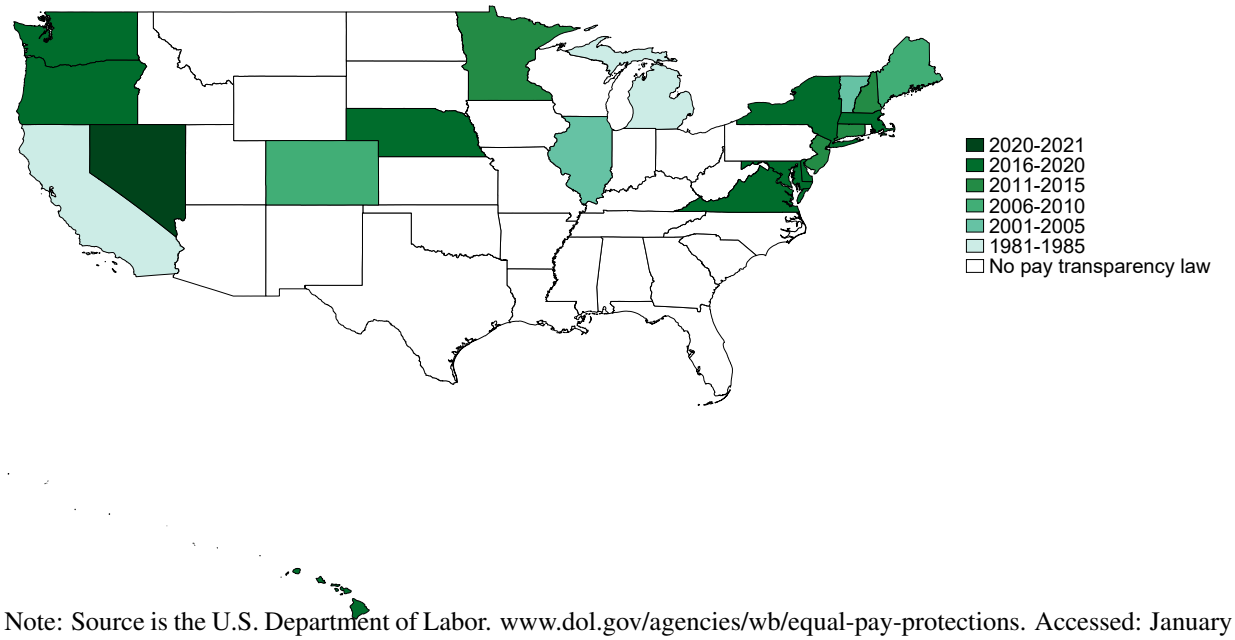
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Appendix Figures and Tables

Figure A.1: Summarizing the Timing of Law Changes



Note: Source is the U.S. Department of Labor. www.dol.gov/agencies/wb/equal-pay-protections. Accessed: January 25, 2022. Alaska (no pay secrecy ban) omitted due to visual convenience.

Table A.1: Average Worker Characteristics in 2021

	Non-Managers		Managers	
	mean	sd	mean	sd
Pay Secrecy Law	0.435	0.496	0.469	0.499
Hourly Wage	28.876	116.202	44.223	132.568
Fulltime	0.620	0.485	0.786	0.410
Female	0.490	0.500	0.412	0.492
Black	0.119	0.323	0.082	0.275
High School Graduate	0.265	0.441	0.163	0.370
Manufacturing Industry	0.098	0.298	0.111	0.314
Business Services	0.078	0.269	0.090	0.287
Personal Services	0.030	0.170	0.015	0.122
Entertainment Services	0.016	0.126	0.021	0.145
Professional Services	0.312	0.463	0.236	0.425
Age	43.305	11.171	45.198	10.493
Observations	56,147		9,061	

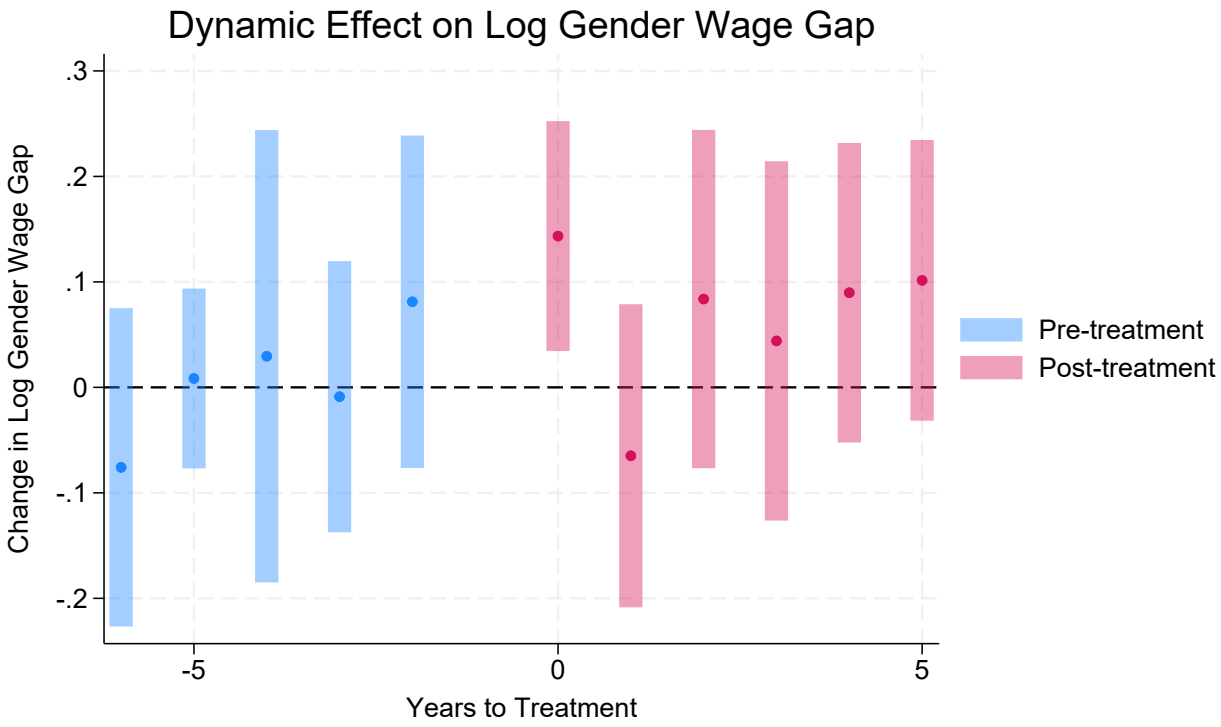
Note: Data are drawn from the March 2021 Annual Social and Economic Supplement (ASEC) of the Current Population Survey (CPS). The table presents a cross-section of workers observed in the 2021 ASEC, which reports labour market and income information for the 2020 calendar year. Wages are inflation-adjusted to 2012 dollars. The full analysis sample used elsewhere in the paper draws on CPS ASEC surveys from 1977 to 2021.

Table A.2: Triple Difference Wage Variance Estimates

Panel B. DDD	Managers vs. Non-Managers	
	(1)	(2)
Manager × Pay Transparency Law	−0.001**	−0.001
	(0.001)	(0.001)
State & Year FE	X	X
Controls		X
Observations	3,101,177	3,101,177

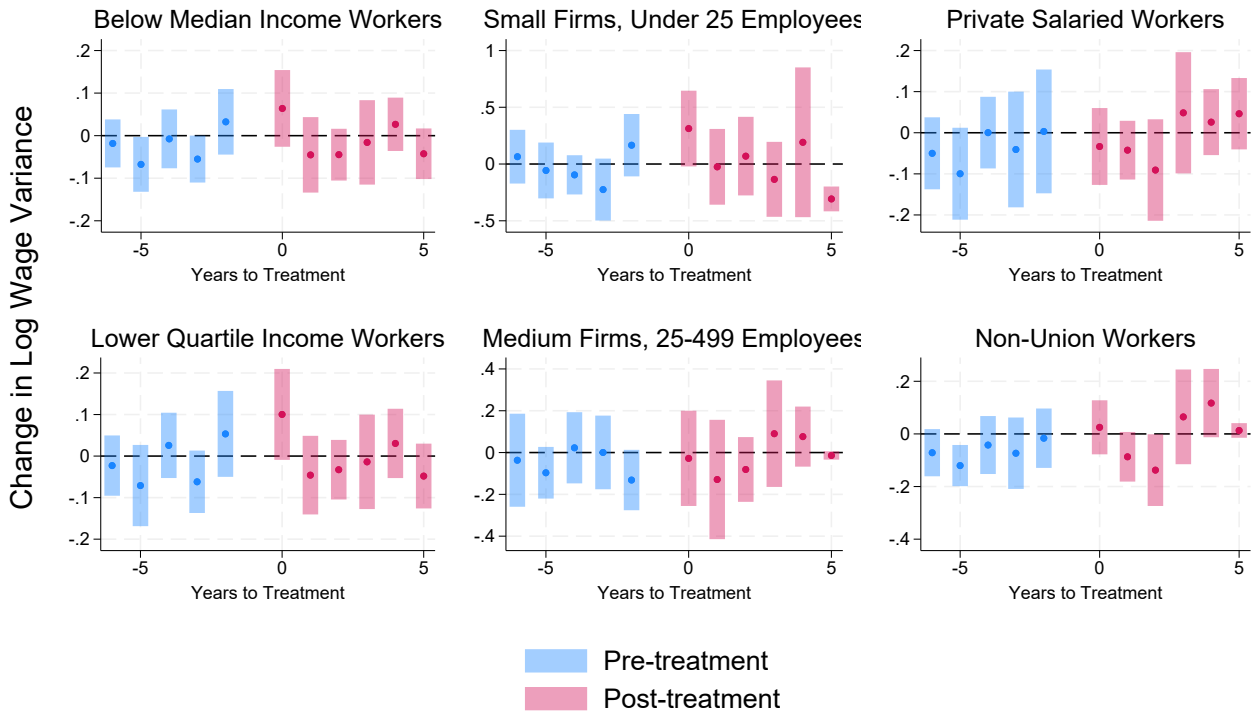
Note: Data come from the 1977 to 2021 Current Population Surveys. Wages are inflation-adjusted to 2012 dollars. We control for differences due to race, potential experience, education, marital status, occupation, and industry. Robust standard errors clustered at the state-level.
*p<0.1 **p<0.05 ***p<0.001

Figure A.2: Staggered DD Event Study for Gender Wage Gap



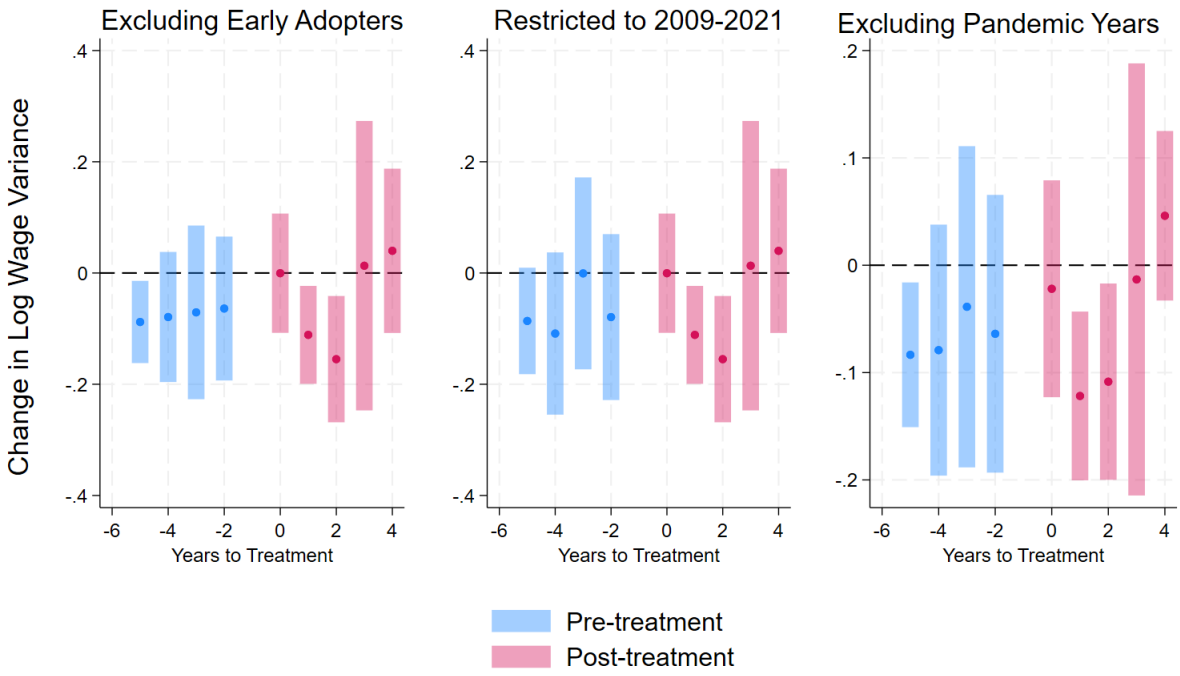
Note: Figure plots the impact of pay secrecy bans on the gender wage gap, estimating the Callaway and Sant'Anna (2021) staggered event study specification. The outcome variable measures the gender pay gap within state-year cells for managers. The specification controls for differences due to race, gender, education, industry, and age at the state year share level. The sample of workers is described in Section 3. Robust standard errors clustered at the state level are used, with 95% confidence intervals plotted.

Figure A.3: Staggered DD Event Study for Log Wage Dispersion Among Subgroups



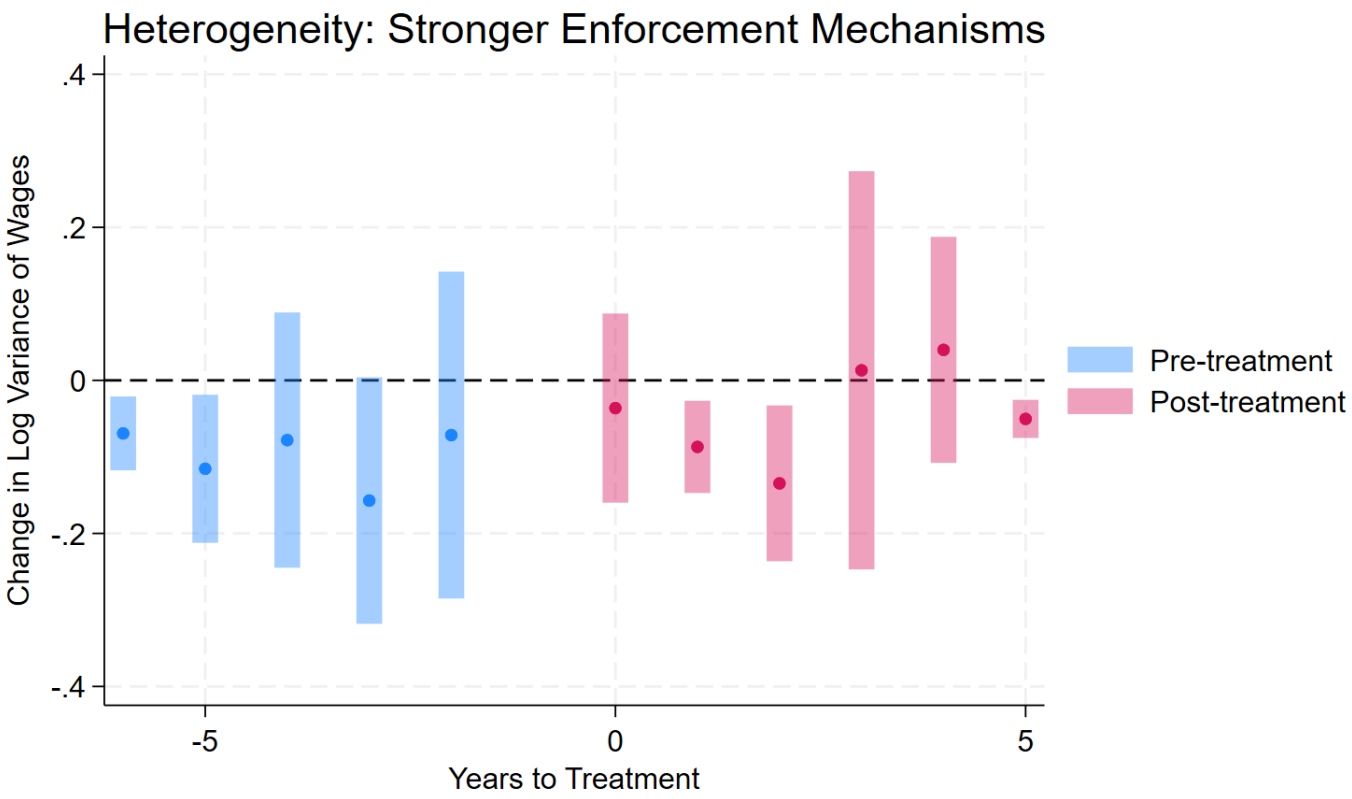
Note: Figure plots the impact of pay secrecy bans on the dispersion of wages, estimating the Callaway and Sant'Anna (2021) staggered event study specification. The outcome variable measures the wage dispersion within state-year cells for managers. The specification controls for differences due to race, gender, education, industry, and age at the state year share level. The sample of workers is described in Section 3. Robust standard errors clustered at the state level are used, with 95% confidence intervals plotted.

Figure A.4: Robustness of Event Study Results, Excluding Early Adopters, restricting to the same years as complaints, and removing pandemic years



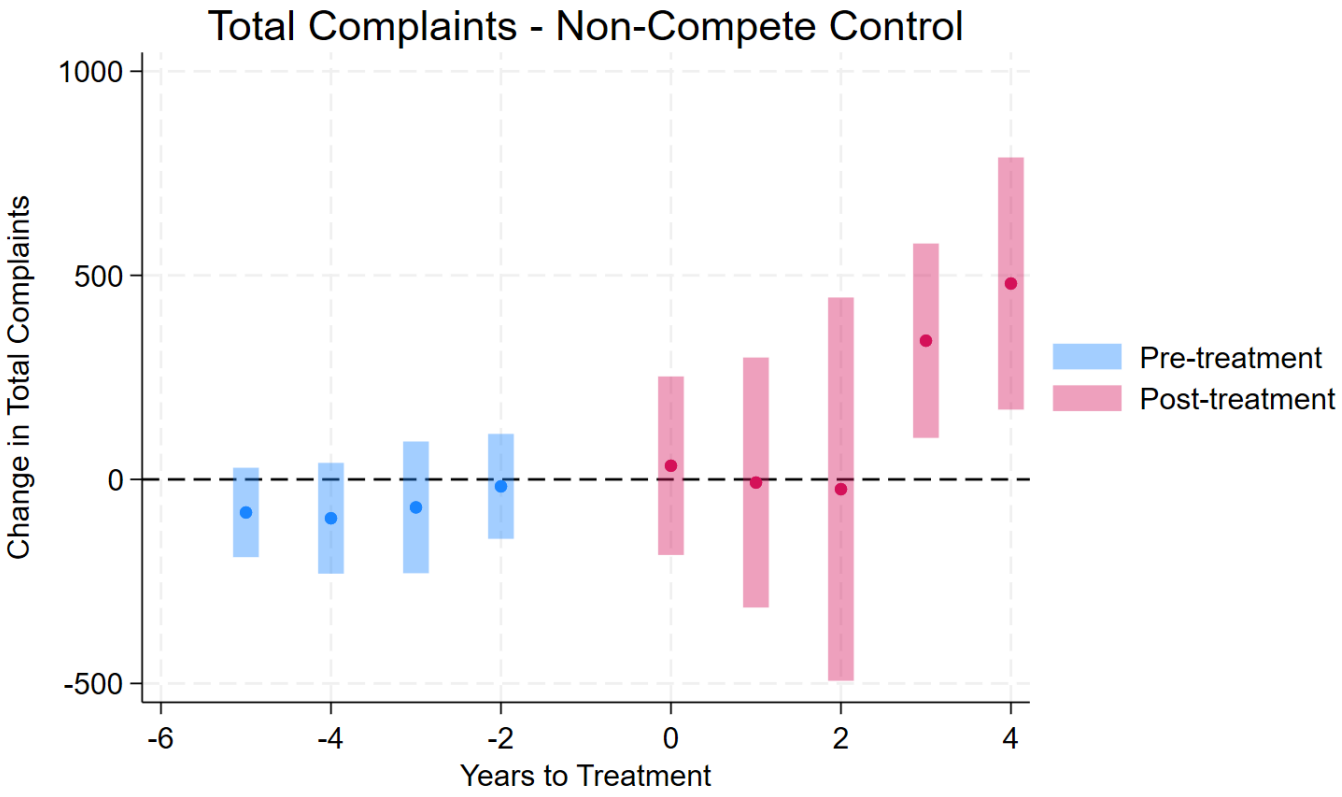
Note: Data come from the 1977 to 2021 Current Population Surveys. Wages are inflation-adjusted to 2012 dollars. We control for differences due to race, potential experience, education, marital status, occupation, and industry. Robust standard errors clustered at the state-level.

Figure A.5: Robustness of Event Study Results, Excluding states with 'weak' enforcement mechanisms



Note: Data come from the 1977 to 2021 Current Population Surveys. Wages are inflation-adjusted to 2012 dollars. We control for differences due to race, potential experience, education, marital status, occupation, and industry. Robust standard errors clustered at the state-level.

Figure A.6: Robustness of Event Study Results on Complaints with non-compete agreement control



Note: Source: https://www.eeoc.gov/data/enstate levelnd-litigation-statistics-0. Robust standard errors clustered at the state level. Average total number of complaints in time 1: 976.

Table A.3: Pay Secrecy Bans and the Share of Managerial Workers

	(1) Manager share
Pay secrecy ban	0.0045
	(0.0031)
Share Black	-0.1564^{**}
	(0.0617)
Share high-school grad.	-0.0394^{*}
	(0.0221)
Share female	-0.0673^{*}
	(0.0380)
Share manufacturing	-0.2428^{***}
	(0.0381)
Share services	-0.0087
	(0.0230)
Mean age	0.0021^{**}
	(0.0009)
State fixed effects	Yes
Year fixed effects	Yes
Observations	2,295
Clusters (states)	51
Within R^2	0.236

Notes: The unit of observation is a state–year cell, with the dependent variable equal to the share of workers classified as managers. "Pay secrecy ban" is an indicator equal to one in years when a state-level pay secrecy ban is in effect. All covariates are state–year shares (mean age for the age control), constructed from the CPS ASEC as described in Section 3. All specifications include state and year fixed effects. Standard errors clustered at the state level are reported in parentheses. The coefficient on the pay secrecy ban is small and statistically indistinguishable from zero, indicating that the adoption of a ban is not associated with a change in the share of workers who are managers. This addresses the concern that the estimated effects on wage dispersion or discrimination complaints could reflect a policy-induced shift in occupational composition rather than a change in outcomes for a fixed group of workers. $^{*}p < 0.10$, $^{**}p < 0.05$, $^{***}p < 0.01$.